4. M-CV-0096242 Sac Area Rentals v. Lively, Tanika

Motion to Set Aside Default and Default Judgment

Defendant moves to set aside default and default judgment pursuant to Code of Civil Procedure section 473(b).

The court may "upon any terms as may be just" set aside default due to the moving party's "mistake, inadvertence, surprise, or excusable neglect." (Code Civ. Proc., § 473, subd. (b).) A motion to set aside default must be made "within a reasonable time, in no case exceeding six months" from the entry of default. (*Ibid.*) A party seeking Section 473(b) relief must demonstrate due diligence and must bring the motion within 180 days. (*Rappleyea v. Campbell* (1994) 8 Cal.4th 975, 982; Code Civ. Proc., § 473, subd. (b).) Here, defendant's motion is timely brought within approximately six weeks of the entry of default and default judgment. Moreover, defendant declares she first learned of entry of default and default judgment on August 19, 2026 and she sought relief merely two days later by filing the instant motion. As to grounds for relief, defendant declares she was never personally served nor did she receive service by mail and she believed she did not have to file an answer because there was no proof of service in the court's file. Defendant has shown sufficient "mistake, inadvertence, surprise, or excusable neglect" within the meaning of Code of Civil Procedure section 473(b).

The motion is granted. Default and default judgment entered against defendant on July 7, 2026 are hereby set aside. Defendant shall file and serve her answer to the complaint by September 8, 2026.

5. M-CV-0097392 Ford Motor Credit Co. v. Hanson, Lawrence J

Defendants' Motion to Compel Arbitration and Motion to Stay

Defendants Lawrence J. Hanson and Cynthia Yolcan move to compel arbitration and to dismiss proceedings. Plaintiff opposes this motion.

Plaintiff's complaint filed April 28, 2026, alleges breach of contract and common counts based on the failure to make payments on a vehicle purchase contract. The subject contract, which plaintiff attaches to the complaint, contains an arbitration provision.

Section 2 of the Federal Arbitration Act ("FAA") makes agreements to arbitrate "valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract." (9 U.S.C. § 2.) This provision reflects both a "liberal federal policy favoring arbitration" and the "fundamental principle that arbitration is a matter of contract." (*AT&T Mobility LLC v. Concepcion*, (2011) 563 U.S. 333, 339.) California law mandates that the court must grant a petition to compel arbitration "unless it determines that: (a) The right to compel arbitration has been waived by the petitioner; or (b) Grounds exist for the revocation of the agreement." (*Condee v. Longwood Management Corp.* (2001) 88 Cal.App.4th 215, 219.) "Any doubts concerning the scope of arbitrable issues should be resolved in favor of arbitration, whether the problem at hand is the construction of the contract language itself or an allegation of waiver, delay, or a like defense to arbitrability." (*Three Valleys Mun. Water Dist. v. E. F. Hutton & Co.*, (9th Cir. 1991) 925 F.2d 1136, 1139.)

A threshold question for any motion to compel arbitration is whether an agreement to arbitrate exists between the parties. (*Cruise v. Kroger Co.* (2015) 233 Cal.App.4th 390, 396.) Defendant carries this initial burden of proving, by a preponderance of the evidence, the existence of a valid arbitration agreement. (*Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 972.) A party opposing a motion to compel arbitration then "bears the burden of proving by a preponderance of the evidence any fact necessary to its defense" including evidence challenging the acceptance of the agreement. (*Ruiz v. Moss Bros. Auto Group, Inc.* (2014) 232 Cal.App.4th 836, 842; *Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 165.)

Here, defendants' motion fails to attach a copy of the arbitration agreement. Nevertheless, the court on its own motion takes judicial notice of Exhibit A to the complaint, the agreement that forms the basis for plaintiff's claims, and which contains an arbitration provision at page five. Thus the court determines the existence of an arbitration agreement has been demonstrated.

Plaintiff alternatively argues defendants waived the right to arbitration by filing their answer and cross-complaint. "The party asserting waiver must establish, by clear and convincing evidence, that the party knew of its right to compel arbitration and intentionally relinquished that right through conduct inconsistent with an intent to arbitrate." (*Quach v. California Commerce Club, Inc.* (2024) 16 Cal.5th 562, 584.) Here plaintiff does not establish intentional waiver by clear and convincing evidence. Defendants' answer, cross-complaint and motion to compel arbitration were filed simultaneously within two months of the complaint being filed. Plaintiff otherwise raises no substantive defenses to enforceability of the arbitration provision.

The motion to compel arbitration is granted. Plaintiff shall be responsible for paying filing and other fees pursuant to the terms of the agreement. This action shall be stayed pending the outcome of the arbitration.

An order to show cause re: arbitration is set April 27, 2027, at 9:00 a.m. in Department 32.